January 2026

Harrow Inc. (NASDAQ: HROW)

Long HROW 1/26 Price: $43.83

Base Target Price: $72.58 (65.59%% Upside), 2-5 Years

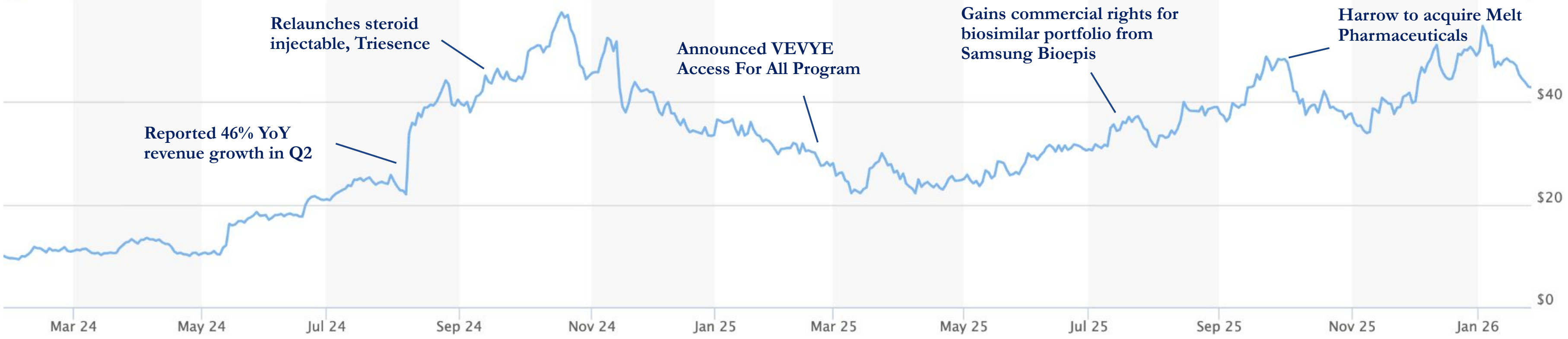
Derek Chan

Harrow Inc. (HROW) - Company Overview

Long HROW

Harrow is a specialized ophthalmic pharmaceutical company focused on dry eye, inflammation, and ocular surgical anesthesia solutions

Harrow 2 Year Price Chart



Business Description

Harrow holds the commercial rights and sells prescription medications directly through its pharmacy, outsourcing facility and 3rd party logistics partners. It holds a portfolio of branded eye care products supported by its legacy compounding business, ImprimisRx

Founded in 1998, the company rebranded as Harrow in 2023 and expanded its portfolio through product acquisitions across dry eye, ocular anesthetics, cataracts, glaucoma, and retinal disease.

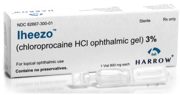
Sales of products to wholesalers orders are received through the Company's 3PL partner, and the customer takes title of the products via formal purchase orders placed and fulfilled

Branded Portfolio of Products

Vevye - Prescription, preservative free eye drop used to treat the signs and symptoms of dry eye disease

Triesence - Preservative free injectable steroid used to treat ocular inflammation and aid visualization during vitrectomy surgery

IHEEZO - Preservative free, topical gel anesthetic used to numb the eye surface before ocular procedures



BYQLOVI - Prescription eye drop designed to treat pain and inflammation following ocular surgery

USC

Derek Chan

Investment Thesis I

Dry eye product VEVYE and topical anesthetic IHEEZO are set for strong unit demand given entry into new markets

VEVYE - Tier 1 Formulary Catalysts

Vevye's dry eye disease (DED) market share has reached 10.5%, doubling from 5.2% in Q1 2025. In Q2 2025, VEVYE surpassed CEQUA in U.S. market share to become the **second-largest** prescribed cyclosporine dry eye brand, driven by the success of the VEVYE Access for All affordability and access program.

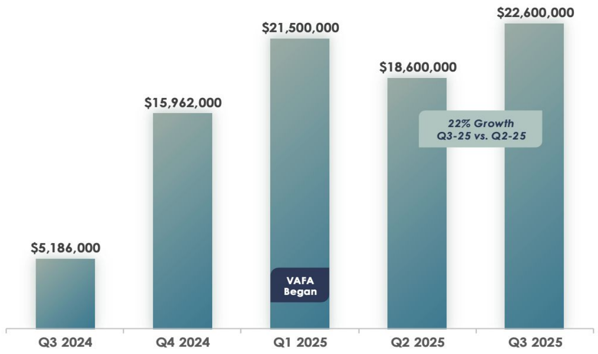
Vevye recently displaced Xiidra as the dry eye **Tier 1 formulary** at CVS, the largest U.S. pharmacy benefit manager (PBM), significantly improving **patient access and prescription volume**. This milestone also creates potential catalysts for preferred coverage at other major PBMs, including OptumRx (UnitedHealth Group) via its Select Standard Formulary and Express Scripts (Cigna) via its National Preferred Formulary.

IHEEZO - Entering The Intravitreal Injection Market

>~5M annual U.S. ocular procedures (cataract, glaucoma, and LASIK) require surface anesthesia, representing the primary use case for IHEEZO. Additionally, over **7M intravitreal injections** (IVIs) are performed annually in the U.S. to prevent vision loss from retinal disease, with ~23% of procedures preferring a topical viscous anesthetic like IHEEZO. Harrow has shifted its commercial focus toward the retina specialist community to **target the intravitreal market.**

The efficacy of its product and order growth is supported by clinical studies showing rapid onset anesthesia in **~1-1.5 minutes**, lower pain scores compared to alternatives like tetracaine, sufficient anesthesia to successfully perform the surgical procedure, and no required supplemental treatment to complete the surgery. Nearly half **(46%)** of accounts ordering YTD are new customers with a 85% customer reorder rate.

Vevye Quarterly Revenue

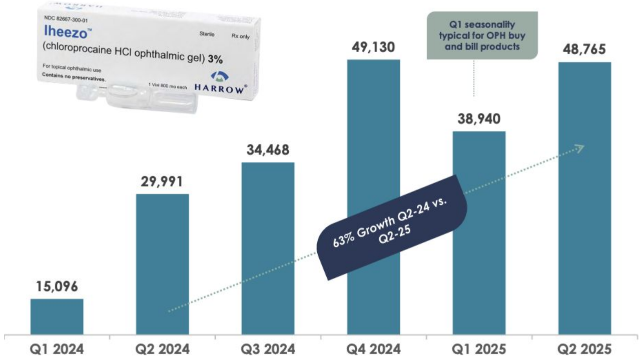


~23M U.S Diagnosed DED Patients

VEVYE's vehicle delivered ~22x more cyclosporine into the cornea than Restasis

99.8% of patients report no or mild instillation pain

IHEEZO Quarterly Customer Unit Demand



IHEEZO worked rapidly

IHEEZO provided sufficient anesthesia to successfully perform the surgical procedure

Investment Thesis II

Long HROW

Emerging Products: Recent and upcoming launches expand revenue and penetrate surgical and retinal markets

Triesence - Entering the Corticosteroid Inflammation Market

Triesence saw disappointing retina market share growth in Q3 2025, prompting Harrow to pivot toward the surgical market for ocular inflammation. They recently hired Chad Brines, VP of the surgical portfolio, with 20+ years in medical device and pharmaceutical sales (Novartis, Stryker, J&J) to lead this expansion.

Harrow aims to position Triesence as a first-line treatment for ocular inflammation unresponsive to topical steroids, with a planned Q4 2025 launch.

Strong physician reception & early market traction

Most affordable FDA-approved injectable ocular steroid: ~$37

Preservative free and FDA approved intraocular use

BYQLOVI - Building the Surgical Portfolio (Q1 2026 Launch)

BYQLOVI is a corticosteroid for post-surgery inflammation and pain, targeting ~7M annual U.S. ophthalmic surgeries. Harrow plans to leverage its existing commercial infrastructure and surgical portfolio to increase visibility and clinical synergy for emerging products.

The market is competitive, but BYQLOVI offers a safer profile than traditional corticosteroids and a single-dose format versus Alcon's multi-dose Durezol.

80% of patients reported pain-free on the 4th day following surgery

Low incidence of intraocular pressure; similar to that of placebo

Superior BID dosing compared to alternative multi-dosing

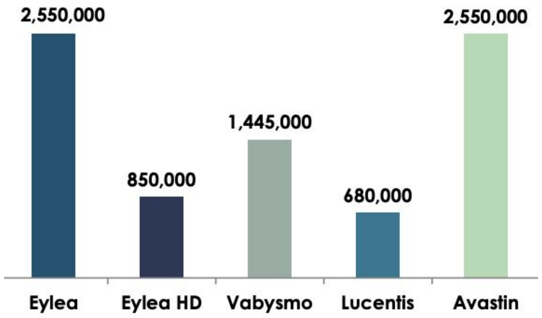
Anti-VEGF Biosimilars: BYOOVIZ & OPUVIZ (2026 & 2027 Launch)

Annual U.S. spending on anti-VEGF therapies under Medicare Part B exceeds $4.2B, making it one of the most expensive drug categories. Biosimilars offer clinically similar, lower-cost alternatives. The market is dominated by three main products, which Harrow aims to disrupt with BYOOVIZ and OPUVIZ, both developed by Samsung Bioepis, a trusted global biosimilar developer.

BYOOVIZ has interchangeability status and the largest Phase 3 dataset among its approval cohort, with only two other approved biosimilars.

OPUVIZ also has interchangeability status, and Harrow plans to leverage its commercial infrastructure and reputation to gain market share.

Anti-VEGF Market Unit Volume



Comparables & Valuation

Long HROW

Ophthamology Biopharmaceuticals					
Name	Ticker	Share Price	Shares Out.	Market Cap	Enterprise Value
Alcon	ALC	$ 80.97	499.7	40,931	44,360
Bausch + Lomb	BLCO	$ 16.87	354.2	6,234	10,938
Cooper Companies	COO	$ 80.90	196.0	15,964	18,372
Regeneron Pharmaceutical	REGN	$ 762.65	103.3	83,434	66,367
Novartis	NOVN	$ 149.74	2,112.4	287,721	308,423
Santen Pharmaceutical	4536	$ 11.28	322.3	3,632	3,435
Pfizer	PFE	$ 25.88	5,714.00	150,839.86	198,139.86
Bayer	BAYN	$ 55.16	982.42	54,186.39	95,561.48
Average		$ 183.74	598.0	72,986	75,316
Median:		$ 80.94	338.3	28,448	31,366

FY2 Multiples & Margins			
P/E (x)	EV/EBITDA (x)	EV/Sales (x)	EBITDA Margin %
23.07	15.03	3.89	25.8%
20.95	10.92	2.03	18.6%
16.32	12.46	4.04	32.4%
16.90	13.27	4.32	32.6%
16.39	13.40	5.38	40.2%
14.69	7.61	1.74	22.9%
8.71	7.96	4.92	40.0%
9.76	8.30	1.75	21.1%
15.85	11.12	3.51	29.2%
16.36	11.69	3.96	29.1%

Terminal Value - Perpetuity Growth Method:	
Terminal Growth Rate	2.50%
Baseline Terminal FCF Growth Rate:	
Upside	2.00%
Base	1.50%
Downside	1.00%
Extreme Downside	0.50%
Selected Terminal FCF Growth Rate:	**1.50%**
Baseline Terminal Value:	$3,775.76
Implied Terminal EBITDA Multiple:	10.8x
(+) PV of Terminal Value:	1,718.15
(+) Sum of PV of Free Cash Flows:	278.97
Implied Enterprise Value:	**1,997.12**
(+) Total Debt	242.82
(-) In-The-Money Convertible Debt	-
(+) Capital Leases	0.00
(+) Operating Leases	0.00
(-) Cash & Cash Equivalents	-74.29
(+) Total Preferred Stock	-
(-) In-The-Money Convertible Preferred	-
(-) Investments in Unconsolidated Subsidiaries	-
(+) Non-Controlling Interest	-0.36
Implied Equity Value:	**2,165**
Implied Share Price from DCF:	**$53.70**
Upside / Downside from Current Price	**22.52%**

Terminal Value - Multiples Method:	
Median Forward EV / EBITDA of Comparables	11.7x
Baseline Terminal Value:	$5,005.27
Implied Terminal FCF Growth Rate:	3.66%
(+) PV of Terminal Value:	2,277.63
(+) Sum of PV of Free Cash Flows:	278.97
Implied Enterprise Value:	**2,557**
(+) Total Debt	242.82
(-) In-The-Money Convertible Debt	-
(+) Capital Leases	0.00
(+) Operating Leases	0.00
(-) Cash & Cash Equivalents	-74.29
(+) Total Preferred Stock	-
(-) In-The-Money Convertible Preferred	-
(-) Investments in Unconsolidated Subsidiaries	-
(+) Non-Controlling Interest	-0.36
Implied Equity Value:	**2,725**
Implied Share Price from DCF:	**$67.58**
Upside / Downside from Current Price	**54.18%**